

AI driven disruption sends EduCare shares plunging amid uncertain future

Students flocking to the revolutionary chatbot StudyBot AI have stirred turmoil in the education technology sector, and the fallout was stark on Tuesday as shares of U.S. firm EduCare Corp. (EDUC.N) nosedived by 52% in early trading.

The collapse followed an earnings call on Monday evening where CEO Robert Haines acknowledged for the first time that the viral artificial intelligence tool, developed by Apex AI Labs, was beginning to siphon off potential subscribers. "Since March, we saw a significant spike in student interest in StudyBot AI. We now believe it's having an impact on our new customer growth rate," Haines said during prepared remarks that underscored the scale of the challenge facing the company.

EduCare, a subscription-based service offering study tools and homework assistance, had seen little impact from StudyBot AI early in the year. However, the release of Apex AI Labs's upgraded SB-4 technology in mid-March triggered a shift in student behavior, pressuring new account growth. The company responded by unveiling "EduCare AI Tutor," a study platform built in collaboration with Apex AI Labs and powered by SB-4. While the beta version of EduCare AI Tutor is scheduled for launch this month, management warned its full impact wouldn't be evident until the fall academic season or beyond.

Amid mounting uncertainty, EduCare suspended its full-year forecast and provided second-quarter revenue guidance in the range of \$227.5 million to \$231.4 million, falling below analysts' consensus of \$242.19 million. Additionally, first-quarter revenue declined 9% year-over-year to \$243.88 million, alongside decreases in profit and subscription revenue.

The plummet in value was swift. If losses persisted through the session, EduCare's market capitalization would erase nearly \$1.3 billion. Financial District Center analysts scrambled to revise their ratings, with Global Capital Markets downgrading EduCare to "hold" from "buy" and slashing its price target from \$32.5 to \$14.3. Global Capital Markets analyst Jordan Reed expressed grave concerns, saying, "EduCare's core offering could become extinct as consumers experiment with free AI tools."

Across the Atlantic, U.K.-based rival Legacy Learning Corp (LLCO.L) saw its shares decline nearly 14%, signaling broader fears for the educational services sector amid the proliferation of generative AI.

"This is not the sky falling," Haines assured during the call, emphasizing that EduCare would adapt aggressively to the evolving landscape. Nevertheless, analysts remain skeptical of how effectively EduCare AI Tutor can salvage the company's position before entrenched trends solidify. Summit Peak Securities analyst Casey Vance compared EduCare's predicament to "dancing in the rain without getting wet."

For now, the influence of AI continues to ripple through the industry, challenging old models and raising difficult questions about the future of paid educational tools.